

BITE completed five years this month. We look back at the road from recession to resurgence, only to see that the problems that affect long-term sustainable growth are yet not tackled. The political will to put growth on the agenda is sorely missing. It seems as if high growth is a political untouchable. Why else would the government not celebrate 9-per cent GDP growth?

ON CREATING JOBS 2002

The BITE team advised easing of restrictions on layoff, removal of reservations for small scale industries, alignment of education system with skill requirements, higher investment in public health, education and skills training.

DONE

PARTIALLY DONE

NOT DONE



SHIVAY BHANDARI

MAKING GROWTH SUSTAINABLE AUG 2003

More privatisation in the power sector, labour reforms, reduction in fiscal deficit, stepping up of government investment and banking reforms.

DONE

PARTIALLY DONE

NOT DONE

ON IMPROVING TAX-GDP RATIO AND CURBING EVASION FEB 2003

Tax services better, track transactions through computerised system, delegate agriculture income tax to panchayats, accept Kelkar Committee report and do away with excessive rebates and exemptions.

DONE

PARTIALLY DONE

NOT DONE

BIG WORRY FOR THE FEEL GOOD ECONOMY FEB 2004

The BITE team saw the poor state of infrastructure and lack of labour reforms as issues that could dent the feel good factor. To make growth lasting, they suggested higher investment in infrastructure, removal of rigidities in labour laws and boost to creation of jobs in the manufacturing sector.

DONE

PARTIALLY DONE

NOT DONE

had a lot to do with the weak agricultural sector.

Debroy: I agree that you need agriculture to grow at more than 2 per cent. Let us be careful. What we mean is that agriculture and allied activities should grow at 4 per cent, not just classic agriculture; we have to get the diversification going—something that has slowed down since the second half of the 1980s. The agenda—no disagreement on this—credit, insurance, public investments, rural infrastructure. Add to this fundamental research in dry land farming.

Ranade: You cannot have 9 or 10 per cent growth with a near-stagnating agriculture sector. There is the issue of investment in agriculture—irrigation, seeds, credit, etc. But

we must now acknowledge that there is not a lot in agriculture that India can do well in. Yes, productivity has to be improved, but in many segments there is little room for improvement. We need to look at remodelling agriculture and the crop mix. We may have to encourage contract farming. Our laws may not allow it, but the corporates will go and contract it in Australia. Then there is the old mantra we keep repeating—rechannelise the subsidies as investments in agriculture. But that alone may not be sufficient.

Purie: If you do the remix, you are going to throw a lot of farmers out of work, then where do you put them? Unless you are creating jobs somewhere else, it would be difficult.

Ranade: It is a political challenge. But it is a bullet that we have to bite. Take the National Rural Employment Guarantee Programme (NREGP). If that can be coupled, it being a dole programme, at least the small and marginal farmers and non-seasonal labour can be addressed.

Roy: Unless you start a labour-intensive manufacturing industry that requires lower skill content, you won't be able to absorb them. But to enable employment in large num-

No country has grown consistently at 9% with agriculture growing at 2%.

SHANKAR ACHARYA, MEMBER, BOARD OF GOVERNORS, ICRIER